

ELLIOTT WAVE CORRECTION

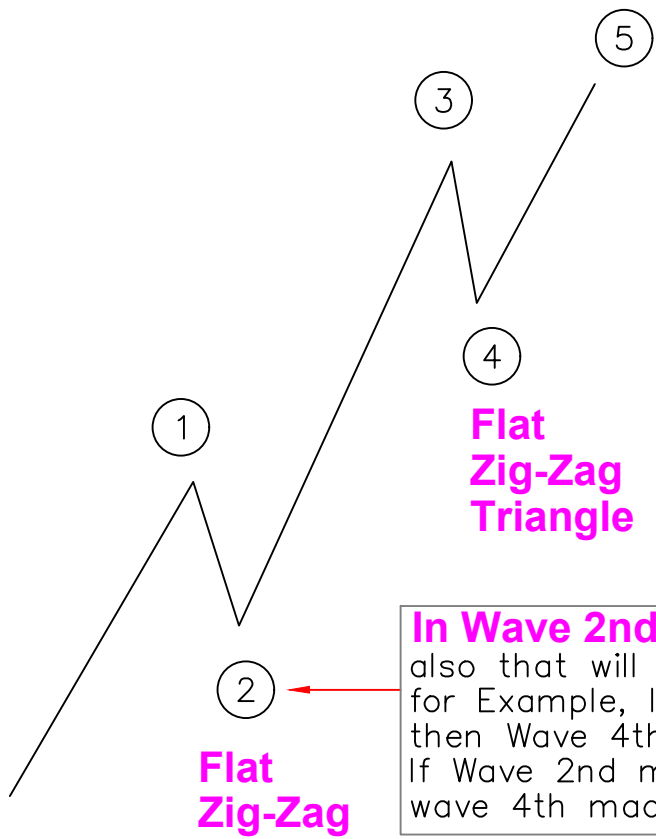
Correction: Is a concept which happens maximum time in Top.

The correction of any swing starts when he stands at the same place from where he started in his 1/2 or equal time, this is called correction

3 Types of Correction:

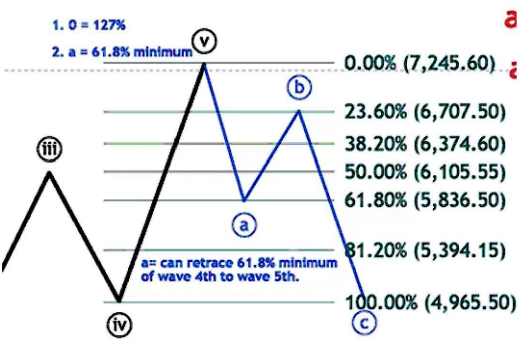
- 1) Zig-Zag - Price wise correction
- 2) Flat - Time wise correction
- 3) Triangle - Time wise correction
- 4) Double correction
- 5) Triple correction

Types of correction in Wave 2nd & Wave 4th



Zig-Zag pattern define (condition):

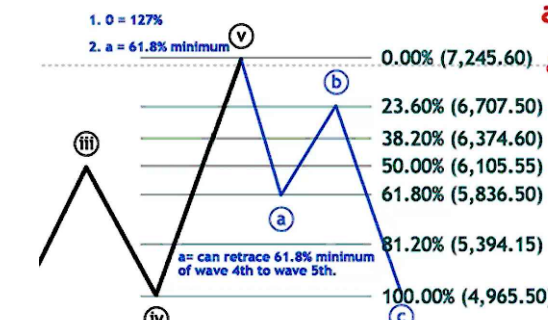
- 1) 0 = 127% from 4 to 5
- 2) a = 61.80% Minimum



Retracement

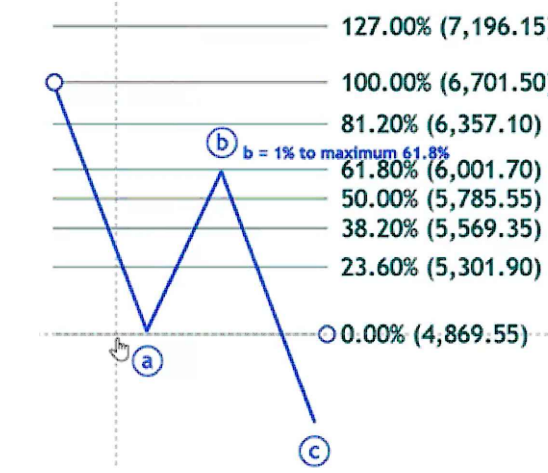
Wave - a

- 1) 0 = 127% from Wave 4th to Wave 5th
- 2) a = 61.80% Minimum



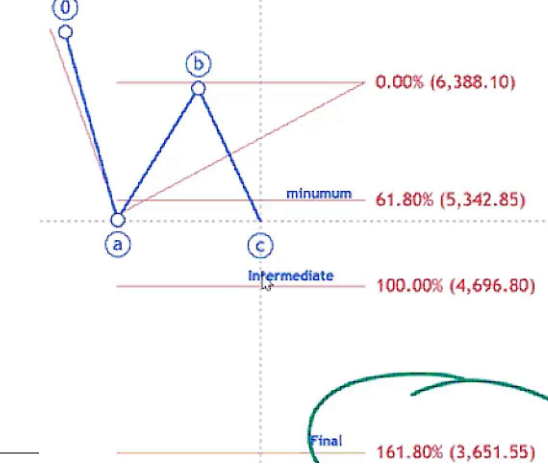
Wave - b

b = Retracement 0 to a
b = 1% minimum & 61.80% maximum
Rule : Time period is equal to a & 61.8% Max.

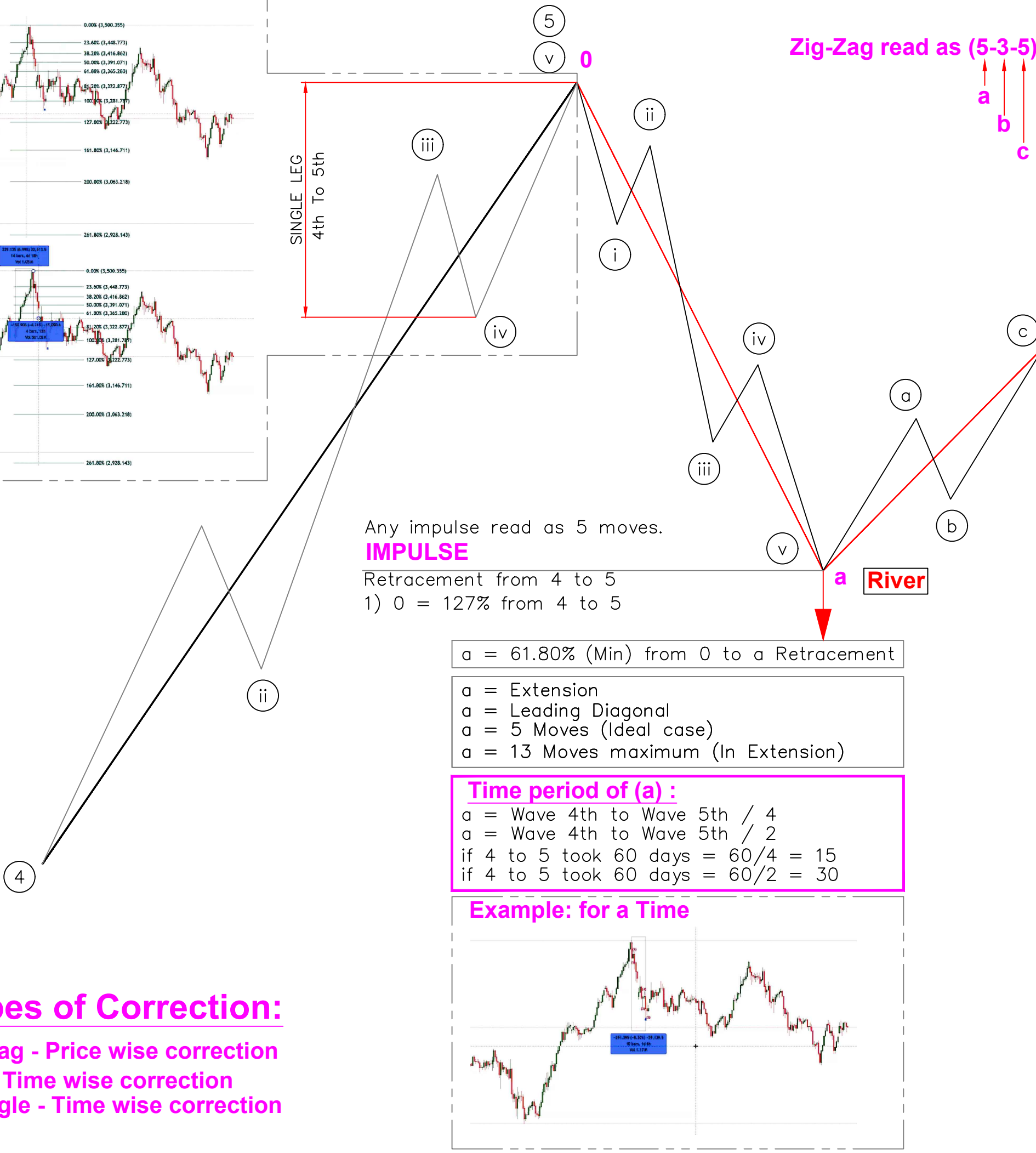
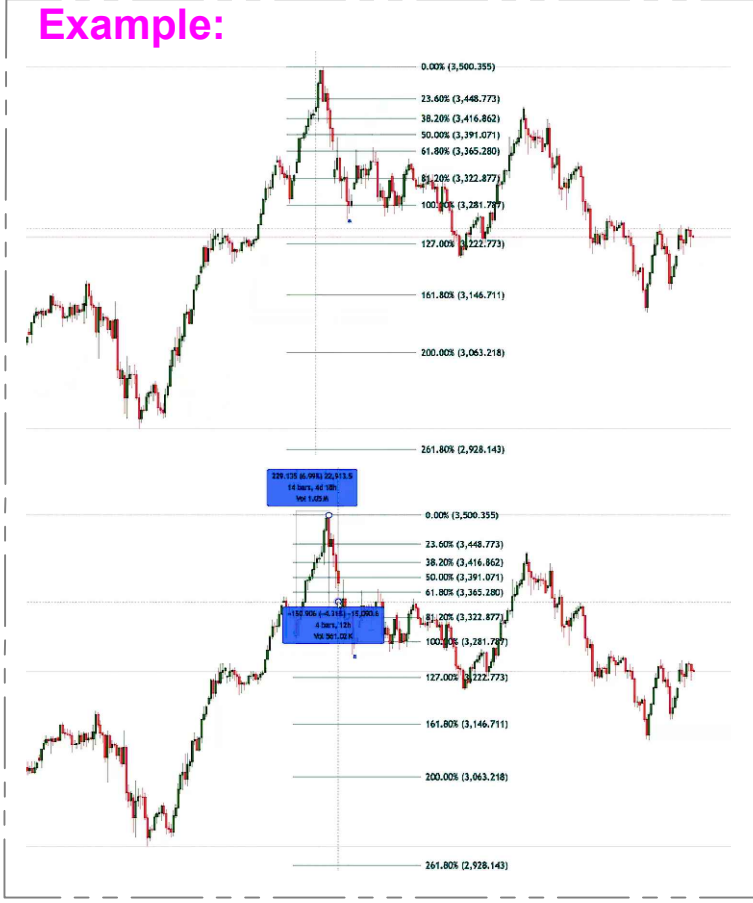


Wave - c

c = fib Extension 0 to a then a to b then c
(minimum criteria 61.80%)
above 161.80% 200 & 261.80 % called Elongated



Example:

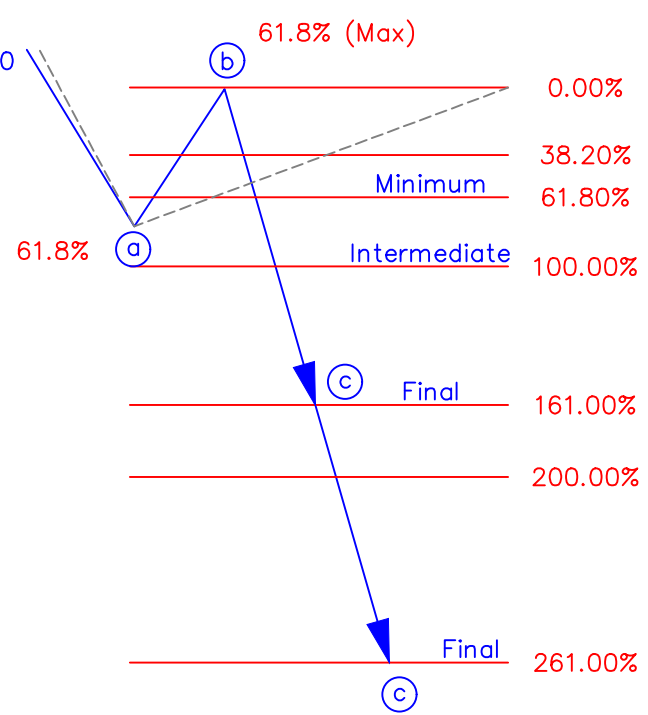


3 Types of Correction:

- 1) Zig-Zag - Price wise correction
- 2) Flat - Time wise correction
- 3) Triangle - Time wise correction

TYPES OF Zig-Zag:

Wave - c Fib-Extension 61.8% to 261.8%
a = 61.8% from 0 To a
b = 61.8% from a To b
c = 61.8% from b To c (Minimum)



Normal Zig-Zag

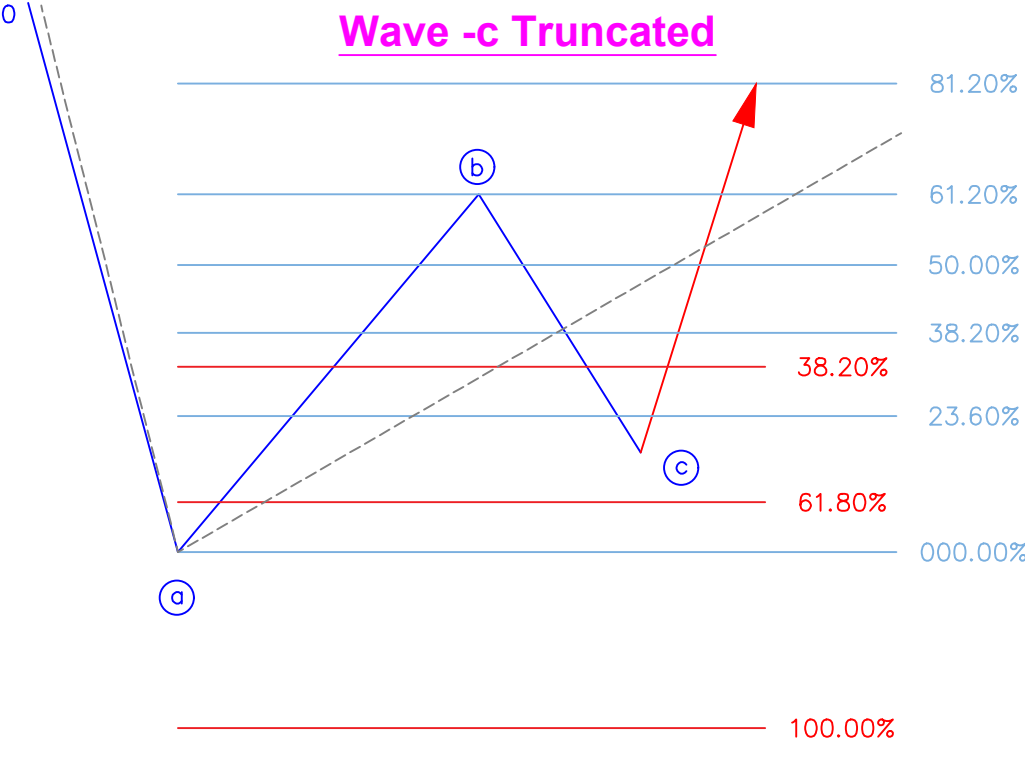
When wave c break 61.8 %
& move towards 161.8 %
then its called Normal Zig-Zag

Elongated Zig-Zag

When wave c break 161.8 %
& move towards 261.8 %
then its called Elongated Zig-Zag

How to Identify this Wave Truncated?

Wave - c Fib-Extension does not touch 61.8% & reverse before 61.8% & If price touch 81.20% then it's called Truncated c wave.
1) Put entrancement 0 To a
2) If does not touch 61.8% &
3) If reversal price touch 81.20% then you get confirmation wave c was truncated.



b = 1% minimum & 61.80% maximum
Rule : Time period is equal to a & 61.8% Max.

Time period of (b) :
Rule : Time period is equal to a & 61.8% Max.
Example : a took 20 days,
so b will be 61.8% on 20 days

c = fib Extension 0 to a then a to b then c
(Minimum criteria 61.80%)
Below 61.80% Truncated (If price not touch 61.8%)
61.80% to 161.8% Normal
161.80% to 261.8% Elongated

Time period of (c) :
If Wave a & b have the same time period
Then a + b = c

If Wave a & b have different time period
a + b / 4 = c
a + b / 2 = c

